

Yonyou Network - A

Another transition, with value capture to prove;
assume coverage at Underweight

We assume coverage of Yonyou with an **Underweight** rating and a Dec-27 price target of Rmb6, based on 45x 2028E P/E. The 45x 2028E P/E primarily reflects Yonyou's position as one of the few scaled enterprise-software franchise companies in the A-share market. We believe Yonyou is a useful example of why opportunity and scarcity alone do not determine value creation in the AI value chain. Enterprise AI expands the addressable spending pool beyond traditional IT budgets, while Yonyou owns scarce enterprise state, permissions, workflows and transaction execution through its BIP (Business Innovation Platform). However, its historical conversion of these assets into revenue growth, profitability and cash returns has been relatively weak. We therefore will watch for the company to deliver at a higher level, reflecting value capture in the current AI transition.

- **AI expands the opportunity, while competition for the incremental value pool is also widening.** We believe agents can increase the amount of enterprise work performed through software and potentially support usage-, workflow- or transaction-based monetization. Yonyou's system-of-record position should remain valuable because agents still require live enterprise data, permissions and execution. At the same time, existing ERP vendors are developing similar capabilities, AI-native vendors can redesign selected workflows around agents, model and cloud providers are extending downstream, and large enterprises can increasingly build internal applications as AI lowers development costs. We believe Yonyou's ability to retain the underlying ERP relationship is stronger than its ability to capture the full incremental AI wallet.
- **Reported AI revenue shows adoption, but AI-driven wallet expansion still to be established.** Yonyou reported Rmb464mn of AI-related revenue and Rmb906mn of AI-related contracts in 1H26, while group revenue grew 4.1% YoY and cloud ARR increased 8.2%. Some AI spending could replace existing BIP modules, services or future seat revenue. We therefore focus on net customer annual contract value (ACV) after cannibalization, consolidated revenue reacceleration and incremental gross profit. Our 2026-28E revenue forecasts are 3%/5%/10% below Bloomberg consensus, reflecting our more gradual assumptions for AI-driven wallet expansion.
- **Financial conversion the main constraint on our valuation.** 1H26 gross margin improved 2.6ppt YoY to 50.9%, while attributable net loss remained Rmb928mn and operating cash outflow reached Rmb1.0bn. We believe sustained revenue reacceleration, higher ACV/net dollar retention (NRR), improving revenue per employee and stronger FCF would provide evidence that AI is producing better economics than the previous cloud transition. Until then, we believe Yonyou has attractive opportunity and meaningful scarcity, with value capture remaining the key variable for rerating.

▼ Underweight

Previous: Neutral

600588.SS, 600588 CH

Price (23 Sep 26): Rmb9.50

▼ Price Target (Dec-27): Rmb6.00

Prior (Dec-27): Rmb10.00

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J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	(0.21)	(0.19)	8.9%
Adj. EPS - 27E (Rmb)	(0.06)	0.02	138.0%

Quarterly Forecasts (FYE Dec)

Adj. EPS (Rmb)	2025A	2026E	2027E
Q1			
Q2			
Q3			
Q4			
FY	(0.40)	(0.19)	0.02

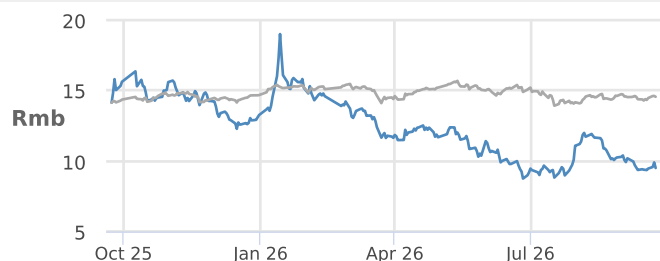
Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	98	96	97	91	90
Growth	96	96	96	37	62
Momentum	34	95	100	98	82
Quality	98	98	98	90	72
Low Vol	65	81	76	66	59
ESGQ	14	95	96	18	4

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 17 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



— 600588.SS Price (Rmb) SSEA (rebased)

	YTD	1m	3m	12m
Abs	-28.4%	-11.6%	-1.9%	-32.8%
Rel	-27.6%	-12.4%	2.3%	-35.8%

Company Data

Shares O/S (mn)	3,383
52-week range (Rmb)	19.01-8.73
Market cap (\$ mn)	4,797
Exchange rate	6.70
Free float (%)	50.5%
3M ADV (mn)	65.17
3M ADV (\$ mn)	100.7
Volatility (90 Day)	46
Index	SHASHR
BBG ANR (Buy Hold Sell)	11 4 4

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	9,182	9,568	10,142	10,750
Adj. EBIT	(1,318)	(596)	161	553
Adj. EBITDA	56	834	1,677	2,160
Adj. net income	(1,349)	(636)	79	470
Adj. EPS	(0.40)	(0.19)	0.02	0.14
BBG EPS	(0.27)	(0.14)	0.03	0.12
Cashflow from operations	812	832	1,750	2,157
FCFF	(525)	(220)	635	974
Margins and Growth				
Revenue Growth Y/Y (%)	0.3%	4.2%	6.0%	6.0%
EBIT margin	(14.4%)	(6.2%)	1.6%	5.1%
EBIT Growth Y/Y (%)	(33.4%)	(54.8%)	(126.9%)	243.9%
EBITDA margin	0.6%	8.7%	16.5%	20.1%
EBITDA Growth Y/Y (%)	(106.5%)	1402.3%	101.1%	28.8%
Net margin	(14.7%)	(6.7%)	0.8%	4.4%
Adj. EPS growth	(32.1%)	(53.0%)	(112.5%)	492.0%
Ratios				
Adj. tax rate	(1.3%)	(4.0%)	4.0%	2.0%
Interest cover	-	-	-	-
Net debt/Equity	0.1	0.1	0.0	NM
Net debt/EBITDA	14.4	1.2	0.2	NM
ROE	(17.0%)	(8.7%)	1.1%	6.5%
Valuation				
FCFF yield	(1.6%)	(0.7%)	2.0%	3.0%
Dividend yield	-	-	-	-
EV/Revenue	3.7	3.6	3.3	3.1
EV/EBITDA	617.7	41.4	20.2	15.2
Adj. P/E	NM	NM	405.1	68.4

Summary Investment Thesis and Valuation

We rate Yonyou Underweight as its strategic enterprise assets have yet to translate into financial performance comparable with the opportunity they address. Yonyou controls valuable enterprise records, permissions, business rules and complex workflows across finance, supply chain and HR, which should remain relevant as agents perform more enterprise work. However, consolidated revenue growth, profitability and cash generation remain weak. We believe the key investment question is therefore financial conversion: AI product launches and contract activity need to drive sustained revenue growth, higher customer spending and operating leverage before the company's system-of-record scarcity supports stronger equity returns.

Our Dec-27 PT of Rmb6 is based on 45x 2028E P/E. Our 45x target multiple is consistent with the premium valuation framework historically applied to leading A-share enterprise software, while Yonyou's weaker growth and financial conversion versus higher-quality software peers are reflected primarily in our lower earnings base rather than a discounted multiple.

Performance Drivers

Factor	Contribution (%)
Idiosyn.	48%
Market	19%
Region	15%
Style	15%
Macro	3%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.49	0.43
Region: China	0.70	0.44
Macro:		
US 10 Year Yield	0.31	0.20
JPM Global Equity Sentiment	0.09	0.20
Markit EM Composite PMI SA	-0.23	-0.18
Quant Styles:		
Size	-0.70	-0.52
Momentum	-0.63	-0.33
Quality	0.14	-0.15

Industry: AI expands the enterprise software value pool while changing how it is captured

We believe enterprise software is one of the more interesting downstream opportunities created by AI. Traditional enterprise applications are monetized primarily against IT budgets through software licenses, subscriptions, modules and employee seats. As agents begin to perform tasks directly, willingness to pay can increasingly reference the labor or service cost associated with completing the work. Finance closing, expense approval, procurement, supplier management, HR administration, production planning and business analysis all combine software workflows with meaningful labor spending.

This is particularly relevant in China, where enterprise software has historically captured a relatively limited share of corporate spending. AI provides another opportunity for software vendors to participate in a larger economic pool if their products perform more of the underlying work. **We believe this can support new monetization units including AI usage, transactions and completed workflows alongside traditional subscriptions.**

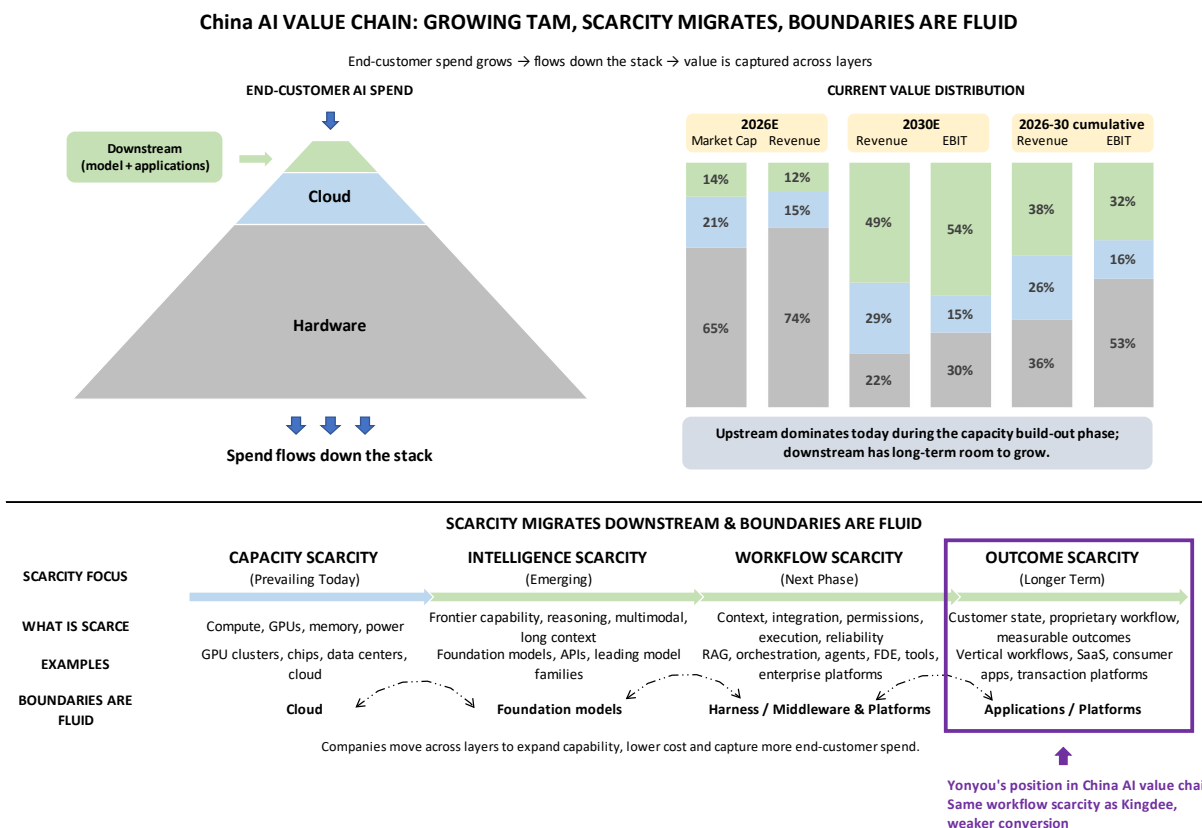
The opportunity also comes with potential cannibalization. Higher output per employee may reduce the number of human seats required for a given level of business activity, while improving general-purpose models can absorb reporting, analysis, configuration and other functionality previously embedded in enterprise applications. We therefore believe the relevant measure is the **net change in customer spending after accounting for both incremental AI monetization and potential cannibalization of existing seats, modules and services.**

ERP retains important structural advantages in this environment. Enterprise agents need current inventory, receivables, purchase orders, employee information, permissions, accounting rules and transaction history. They also need systems capable of executing payments, procurement, accounting entries and other real-world actions. These capabilities reside in systems of record and should remain relevant even if the user interface increasingly shifts toward agents.

Yonyou is therefore well positioned against the opportunity and scarcity dimensions of our framework. Its workflows address large pools of enterprise activity, while BIP controls context and execution that models cannot independently recreate. **We believe the more company-specific debate sits in value capture: how much of the incremental customer spending created around these assets ultimately accrues to Yonyou.**

For more broad-based industry discussions, please refer to our China AI value chain industry note: [*China AI value chain: The expanding pie and race for value: Initiate broader coverage.*](#)

Figure 1: Yonyou's position in China AI value chain



Source: Bloomberg Finance L.P. (data as of Sep 21, 2026), J.P. Morgan estimates.

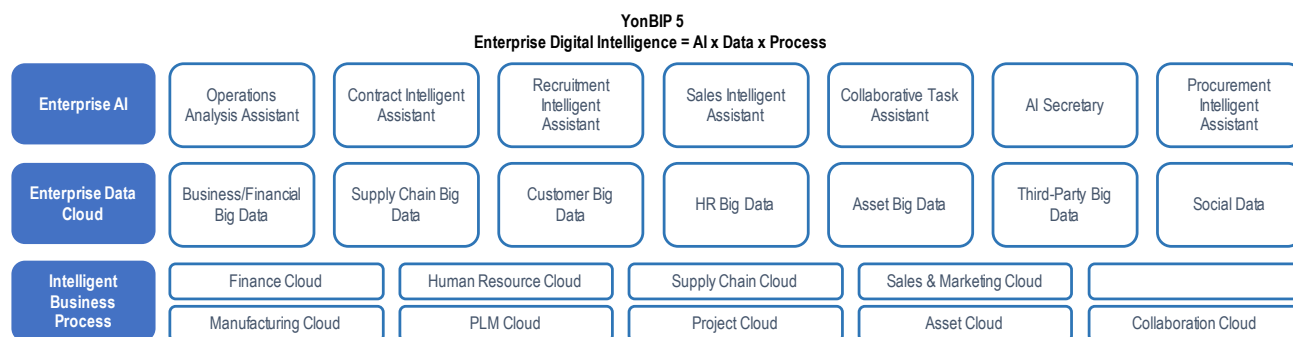
Company and business model: AI begins a new transition before the cloud transition has fully matured economically

Yonyou began as financial software and subsequently expanded into ERP across finance, HR, procurement, supply chain, manufacturing, marketing, R&D, projects, assets and collaboration. Its customer base includes large enterprises and state-owned groups, where deployments often involve complex workflows, permissions, integrations and implementation requirements. The company's business model historically combined software licenses with implementation and services. By 2025, cloud service revenue had reached approximately Rmb7.1bn, representing around 77% of group revenue, while cloud ARR reached Rmb2.9bn. The transition has materially changed Yonyou's product and revenue mix, while the improvement in consolidated financial performance has been more gradual. In 2025, cloud ARR increased 18.1% and BIP revenue rose 15.1%, while group revenue increased only 0.3%.

We believe this history is relevant when assessing the current AI transition. The more difficult part has been converting product and operating progress into sustained consolidated revenue growth, profitability and cash returns. AI now introduces another potential change to the business model before the economics of the cloud transition have fully matured. BIP 6 and Yonyou's newer AI products are increasingly designed around agents accessing enterprise context, invoking Skills and completing tasks across business functions. The company has disclosed 65 vertical agents, 623 Skills and more than 26,000 application and service APIs, providing the technical building blocks for broader agent execution.

We believe this could change how BIP is consumed. The monetization model remains in an early development stage. Traditional revenue is still anchored to subscriptions, modules, users and implementation, while agent-based software may increasingly require usage-, transaction- or workflow-based pricing. Yonyou has begun reporting AI-related contracts and revenue, although disclosure on AI ARR, usage, attach rates, incremental customer ACV and AI gross margin remains limited.

Figure 2: YonBIP 5



Source: Company website (as of Sep 11, 2026).

Scarcity: Enterprise state, permissions and execution should remain valuable as AI moves deeper into workflows

We believe Yonyou owns several forms of scarcity that should remain relevant even as model capability improves. The first is **enterprise state**. The second is **permissions and governance**. Better models can improve reasoning and task execution, but they still need to operate within these permission structures. The third is **workflow complexity and integration**. Processes embed customer-specific business rules accumulated over years, while integrations connect ERP with banks, tax systems, suppliers, logistics providers and other software. We believe this creates meaningful switching costs that are difficult to eliminate through improvements in model intelligence alone. The fourth is **transaction execution**. Yonyou's installed systems provide an important execution environment for these tasks.

AI could therefore increase the value and consumption of Yonyou's underlying enterprise capabilities even if parts of the traditional interface become less important. The financial implications are potentially meaningful. Machine usage can increase the volume of activity running through BIP, creating a basis for usage-, workflow- or transaction-linked monetization. **We believe successful value capture therefore requires Yonyou's pricing model to evolve with the unit of software consumption.**

Traditional seat and module pricing can remain relevant, while AI usage and completed workflows could become increasingly important charging units. Evidence that higher machine usage produces higher net customer ACV would provide an important validation of this opportunity.

Scarcity can also improve the economics of implementation. If enterprise context, workflows and integrations can increasingly be represented as reusable Skills and standardized components, Yonyou could deploy new AI capabilities across customers with less incremental labor. **We believe this is an important potential source of operating leverage, although current financial disclosures provide limited evidence on reuse rates or deployment efficiency.**

Defensibility and value capture: System-of-record ownership is valuable, while the incremental AI wallet remains contestable

Yonyou's installed base and system-of-record position provide meaningful defensibility. The competitive question is broader than ERP replacement. **Existing enterprise software vendors remain the most direct competitors.** Kingdee and global ERP vendors are embedding AI and agents into their own installed workflows. **AI-native applications create competition at the workflow level.** These vendors can design selected processes around agent execution from inception, without supporting the same legacy architecture. **We believe Yonyou remains better positioned where tasks require broad enterprise state, complex permissions and transaction execution. Model and cloud providers are also extending downstream.** Foundation-model companies and cloud platforms increasingly provide enterprise agents, development environments and deployment tools.

Yonyou's own agent products provide a route to retain a larger share of this workflow. **We believe active agent usage, workflows executed, cross-module penetration and third-party integrations would provide stronger evidence of this position than the number of agents or Skills available. Customer in-house development is another important competitive dimension, particularly among Yonyou's large-enterprise customers.** AI is lowering the cost of software development, while large enterprises often already have substantial internal IT teams, proprietary data and highly customized processes. However, we believe the economics would differ from a scenario where Yonyou owns both the underlying system and the agent workflow, because more of the application value could remain with the customer.

We believe Yonyou's system-of-record position provides meaningful protection for its role in the enterprise architecture, while ownership of the incremental AI spending is less certain. The company's AI disclosures should therefore be interpreted in this context. Group revenue increased 4.1% in 1H26 despite AI-related revenue already representing approximately 12% of reported revenue, while cloud ARR grew 8.2%. However, we believe it provides insufficient evidence so far that reported AI revenue is translating into a similarly large incremental revenue pool. Our 2026-28E revenue forecasts are 3%/5%/10% below consensus, reflecting a more gradual assumption for AI-driven customer wallet expansion. Stronger consolidated revenue growth, existing-customer ACV/NRR and usage monetization would provide evidence that Yonyou is capturing a larger share of the enterprise AI value pool than we currently assume.

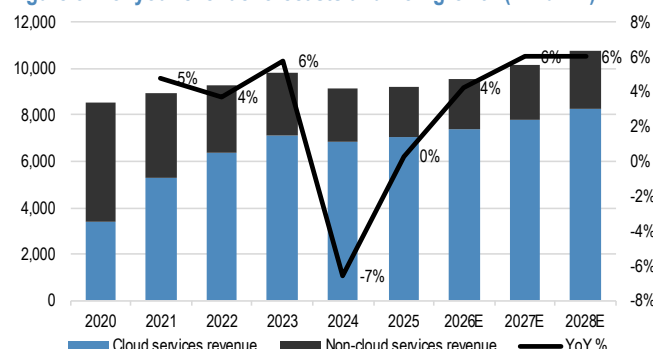
Financial quality and cash flow: Gross margin improvement encouraging; cash conversion remains key financial test

Yonyou's financial profile remains an important part of our Underweight rating. **We believe the ultimate test of the current transition is whether strategic product growth translates into higher consolidated revenue, gross profit and sustainable cash generation.** 1H26 revenue increased 4.1% YoY to Rmb3.7bn. BIP revenue rose 15.0% and cloud service revenue increased 4.6%, while cloud ARR grew 8.2%. Gross margin improved 2.6ppt YoY to 50.9%. The next question is whether margin improvement becomes increasingly driven by productivity. We believe revenue per employee, implementation duration, product reuse and gross profit per customer will become increasingly useful indicators of whether this is occurring.

Operating profitability remains early in its recovery. Historical development capitalization remains particularly relevant. Current-period R&D expenditure also continues to include a substantial capitalized component: approximately Rmb503mn of development spending was capitalized in 1H26, compared with around Rmb535mn recognized as current-period R&D expenditure. **We believe this makes cash flow an important complement to reported earnings.** We therefore assess cash generation after considering capitalized development expenditure and other investment required to sustain the product platform. We believe a higher-quality financial profile would require revenue reacceleration to produce stronger gross profit and operating leverage, followed by sustained improvement in CFO and FCF per share.

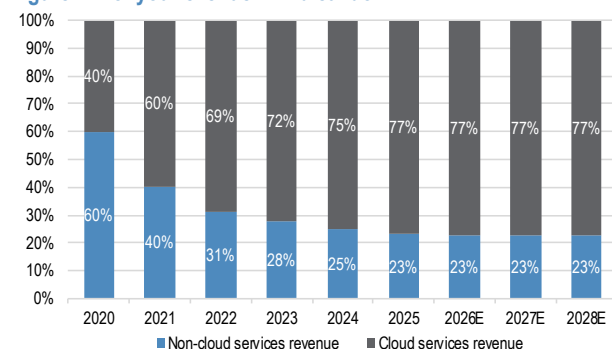
Our 2026-28 revenue forecasts are 3%/5%/10% below consensus. We assume a more gradual revenue recovery and continued investment in BIP and AI, which partly offsets gross margin improvement. Consensus upside could materialize if revenue growth accelerates faster or AI improves implementation productivity more substantially than we currently assume. This represents an important potential upside to our thesis. If Yonyou can combine incremental AI monetization with lower delivery intensity, the same technology transition could improve both revenue growth and margins. **We believe simultaneous improvement in customer ACV, revenue per employee and cash generation would be the strongest evidence that the economics of the AI transition are developing differently from the previous cloud cycle.**

Figure 3: Yonyou revenue forecasts and YoY growth (Rmb mn)



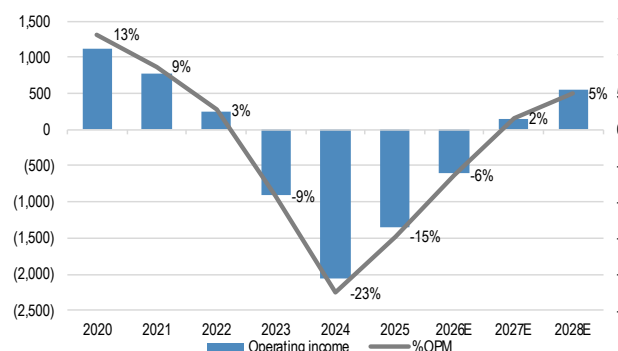
Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Figure 4: Yonyou revenue mix breakdown



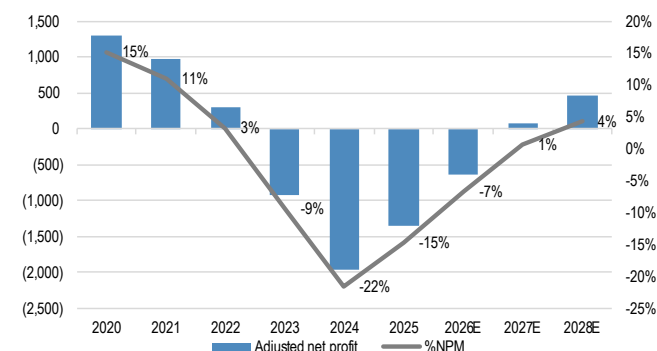
Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Figure 5: Yonyou operating profit and operating margin (Rmb mn)



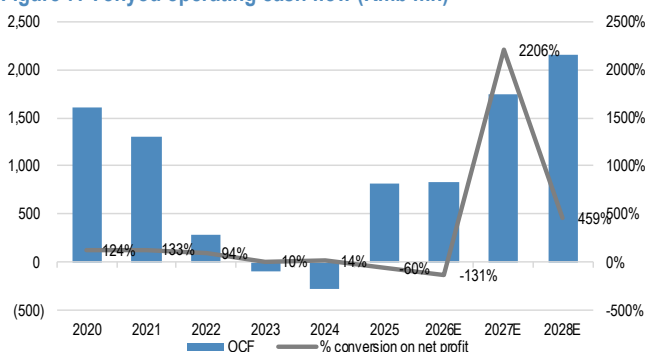
Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Figure 6: Yonyou adjusted net profit and net margin (Rmb mn)



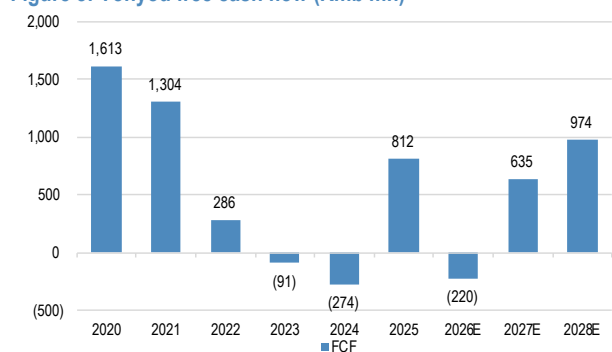
Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Figure 7: Yonyou operating cash flow (Rmb mn)



Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Figure 8: Yonyou free cash flow (Rmb mn)



Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Table 1: Yonyou's P&L

(Rmb mn)	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenue	8,525	8,932	9,262	9,796	9,153	9,182	9,568	10,142	10,750
YoY %	0%	5%	4%	6%	-7%	0%	4%	6%	6%
Cost of sales	3,321	3,461	4,041	4,826	4,802	4,626	4,636	4,914	5,214
Gross profit	5,204	5,471	5,221	4,970	4,351	4,556	4,932	5,228	5,536
Opex									
Selling and marketing expenses	(1,537)	(2,028)	(2,235)	(2,743)	(2,622)	(2,443)	(2,304)	(2,282)	(2,191)
Research and development expenses	(1,459)	(1,704)	(1,754)	(2,107)	(2,122)	(2,286)	(2,185)	(2,091)	(2,007)
General and administrative expenses	(960)	(1,072)	(1,118)	(1,108)	(1,221)	(1,075)	(1,049)	(1,029)	(1,009)
Finance costs, net	(110)	(79)	12	(68)	(115)	(142)	(103)	(103)	(150)
Taxes and surcharges	(99)	(106)	(106)	(108)	(104)	(105)	(107)	(107)	(112)
Impairment losses (credit and asset), net	(265)	(355)	(220)	(235)	(525)	(364)	(142)	(40)	(100)
FV changes, disposal and investment income, net	71	363	145	101	3	218	11	0	0
Other income (government grants etc.)	275	288	306	398	286	282	348	580	580
Operating expense	(4,083)	(4,692)	(4,970)	(5,870)	(6,419)	(5,914)	(5,533)	(5,072)	(4,989)
Operating profit	1,121	779	251	(900)	(2,068)	(1,358)	(601)	156	548
Add: Equity-settled share-based compensation expenses	309	273	86	48	90	40	5	5	5
Adjusted operating profit	1,429	1,052	338	(852)	(1,978)	(1,318)	(596)	161	553
% Adjusted OPM	16.8%	11.8%	3.6%	-8.7%	-21.6%	-14.4%	-6.2%	1.6%	5.1%
Non-operating items									
Non-operating income/(expense), net	6	(5)	(4)	(10)	(8)	(11)	(79)	(90)	(90)
PBT (total profit)	1,126	774	247	(910)	(2,076)	(1,369)	(680)	66	458
Income tax expense	75	92	22	23	(6)	(18)	(27)	3	9
Net profit	1,051	682	225	(933)	(2,070)	(1,351)	(653)	63	448
Minority interests	63	(25)	6	34	(9)	38	(11)	(11)	(16)
Net profit attributable to parent	989	708	219	(967)	(2,061)	(1,389)	(641)	74	465
Add: Equity-settled share-based compensation expenses	309	273	86	48	90	40	5	5	5
Adjusted net profit (attributable)	1,297	981	306	(919)	(1,971)	(1,349)	(636)	79	470
Per share (Rmb)									
Weighted average shares (m):									
Basic	3,226	3,238	3,372	3,362	3,342	3,367	3,383	3,383	3,383
Diluted	3,288	3,238	3,372	3,362	3,342	3,367	3,383	3,383	3,383
EPS (basic)	0.31	0.22	0.07	(0.29)	(0.62)	(0.41)	(0.19)	0.02	0.14
EPS (diluted)	0.30	0.22	0.07	(0.29)	(0.62)	(0.41)	(0.19)	0.02	0.14
Adjusted EPS (basic)	0.40	0.30	0.09	(0.27)	(0.59)	(0.40)	(0.19)	0.02	0.14
Adjusted EPS (diluted)	0.39	0.30	0.09	(0.27)	(0.59)	(0.40)	(0.19)	0.02	0.14

Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Table 2: Yonyou's balance sheet

(Rmb mn)	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
ASSETS									
Current assets:									
Cash and cash equivalents	5,605	4,616	8,304	8,045	6,424	3,956	3,747	4,381	5,355
Financial assets at FVPL	230	281	38	251	127	28	28	28	28
Trade and notes receivable (incl. receivables financing)	1,152	1,440	2,252	2,660	2,585	2,415	2,516	2,667	2,827
Prepayments	96	132	151	195	236	285	297	314	333
Other receivables	449	185	230	205	246	262	262	262	262
Contract assets	209	446	692	882	865	960	996	1,056	1,119
Inventories	426	407	531	552	411	379	381	404	429
Other current assets (incl. unallocated)	626	176	188	133	138	194	194	194	194
Total current assets	8,792	7,682	12,387	12,922	11,031	8,479	8,421	9,307	10,548
Long-term equity investments	2,469	2,553	2,735	2,833	2,819	2,727	2,727	2,727	2,727
Other non-current financial investments	1,091	1,047	1,127	1,034	908	814	814	814	814
Property, plant and equipment (incl. CIP)	2,508	2,529	2,531	2,619	2,878	2,888	3,051	3,223	3,406
Right-of-use assets	-	135	137	117	104	104	37	(34)	(109)
Intangible assets	786	1,862	2,838	3,872	4,293	4,279	3,801	3,293	2,756
Development expenditure	277	-	85	-	18	-	-	-	-
Goodwill	875	1,311	1,551	1,675	1,519	1,496	1,496	1,496	1,496
Deferred tax assets	136	49	59	68	87	88	88	88	88
Other non-current assets (incl. unallocated)	33	161	104	381	501	756	756	756	756
Total non-current assets	8,174	9,647	11,168	12,599	13,126	13,153	12,770	12,364	11,934
TOTAL ASSETS	16,967	17,329	23,555	25,521	24,157	21,631	21,191	21,671	22,482
Current liabilities:									
LIABILITIES AND EQUITY									
Short-term borrowings (incl. due within 1 year)	2,420	2,802	3,611	4,240	5,592	4,085	4,085	4,085	4,085
Notes and accounts payable	552	654	832	1,007	1,103	1,250	1,245	1,319	1,414
Contract liabilities (incl. advances)	2,047	2,076	2,377	2,675	2,879	3,234	3,460	3,751	3,976
Employee benefits and taxes payable	1,410	1,485	1,646	1,696	1,417	1,377	1,313	1,280	1,234
Other payables and other current liabilities	1,528	1,415	1,194	1,546	1,380	1,270	1,320	1,400	1,484
Total current liabilities	7,958	8,433	9,659	11,164	12,371	11,215	11,423	11,835	12,193
Long-term borrowings	-	390	826	1,910	1,433	669	669	669	669
Lease liabilities	-	77	72	54	51	57	57	57	57
Deferred income and other non-current liabilities	438	497	462	556	478	436	436	436	436
Deferred tax liabilities	15	7	19	33	26	6	6	6	6
TOTAL LIABILITIES	8,410	9,403	11,037	13,718	14,357	12,383	12,591	13,003	13,360
Shareholders' equity:									
Share capital	3,270	3,271	3,434	3,419	3,417	3,417	3,417	3,417	3,417
Share premium (net of treasury shares)	863	234	4,655	4,529	4,683	5,419	5,419	5,419	5,419
Other reserves (OCI + statutory reserves)	1,152	1,262	1,328	1,331	1,334	1,339	1,344	1,349	1,354
Retained earnings	2,266	2,221	2,044	874	(1,188)	(2,577)	(3,218)	(3,144)	(2,679)
Total equity attributable to owners of the Company	7,552	6,988	11,461	10,152	8,247	7,599	6,962	7,041	7,511
Minority interests	1,004	939	1,057	1,651	1,553	1,649	1,638	1,627	1,611
TOTAL EQUITY	8,557	7,926	12,518	11,803	9,800	9,248	8,600	8,668	9,122

Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Table 3: Yonyou's cash flow statement

(Rmb mn)	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Operating activities									
Net profit	1,051	682	225	(933)	(2,070)	(1,351)	(653)	63	448
Adjustments:							0	0	0
Depreciation and amortization	334	545	664	936	1,209	1,414	1,368	1,450	1,537
Depreciation of right-of-use assets	0	0	0	0	0	0	67	71	75
Share-based compensation expenses	178	273	66	42	79	34	5	5	5
Impairment losses	265	355	220	235	525	364	0	0	0
Fair value, disposal and investment income (reversal)	(127)	(369)	(144)	(66)	(1)	(219)	(11)	0	0
Net changes in working capital	349	(449)	(784)	214	46	410	56	161	91
Income tax paid	(735)	(809)	(872)	(786)	(710)	(692)	0	0	0
Others	298	1,075	911	267	648	852	0	0	0
Net cash provided by operating activities	1,613	1,304	286	(91)	(274)	812	832	1,750	2,157
Cash flows from investing activities									
Capex — PP&E							(287)	(304)	(323)
Capex — intangibles / development							(765)	(811)	(860)
Purchases of PP&E, intangibles and other LT assets (capex)	(592)	(1,030)	(1,557)	(1,797)	(1,759)	(1,337)	(1,052)	(1,116)	(1,183)
Investment income received	11	31	24	73	45	29	11	0	0
Acquisition of subsidiaries, net	0	0	0	(164)	(34)	(12)	0	0	0
Net placement of financial investments and others	(313)	(232)	(2,321)	1,346	640	(26)	0	0	0
Net cash used in investing activities	(894)	(1,230)	(3,853)	(543)	(1,108)	(1,347)	(1,042)	(1,116)	(1,183)
Cash flows from financing activities									
Share issuance / (share buy-backs), net	425	279	5,347	1,692	142	385	0	0	0
Proceeds from borrowings	4,287	4,881	4,875	5,496	5,167	3,753	0	0	0
Repayments of borrowings	(6,237)	(4,179)	(3,798)	(3,666)	(4,348)	(6,048)	0	0	0
Lease payments, net of new leases	0	0	0	0	0	0	0	0	0
Dividends and distributions paid (incl. interest paid)	(929)	(858)	(500)	(411)	(274)	(221)	0	0	0
Minority capital contributions / (distributions)	0	0	0	0	0	0	0	0	0
Others (financing)	138	(712)	(996)	(1,022)	(400)	129	0	0	0
Net cash provided by/(used in) financing activities	(2,316)	(588)	4,928	2,089	288	(2,003)	-	-	-
Exchange gain/(loss)	(6)	(2)	14	3	(2)	1	0	0	0
Net increase/(decrease) in cash and cash equivalents	(1,602)	(516)	1,375	1,459	(1,096)	(2,536)	(209)	635	974
	6,038	4,436	3,920	5,294	6,753	5,657	3,121	2,911	3,546
Cash and cash equivalents at end of period	4,436	3,920	5,294	6,753	5,657	3,121	2,911	3,546	4,520

Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Valuation and shareholder returns: AI optionality deserves recognition; financial conversion determines the rerating

We set our Rmb price target based on 45x 2028E P/E. We believe a forward earnings framework is appropriate as Yonyou moves through its current investment cycle, while our target multiple reflects both the strategic value of its enterprise software position and the remaining uncertainty around sustainable growth and margins. Our 2026/27/28E revenue forecasts are 3%/5%/10% below consensus, respectively. We assume that reported AI revenue translates more gradually into net incremental customer spending, while continued product investment and implementation requirements result in a slower recovery in profitability. The upside case to our valuation would require stronger evidence that AI changes both growth and operating economics. Higher customer ACV, greater machine usage, improved implementation efficiency and stronger retention could allow revenue and earnings to grow materially faster than our forecasts.

Table 4: JPMe vs consensus

YE 31 Dec	FY2026			FY2027		
Figures in Rmb mn	JPMe	Consensus	% delta	JPMe	Consensus	% delta
Net revenues	9,568	9,825	-3%	10,142	10,703	-5%
Gross profit	4,932	5,024	-2%	5,228	5,687	-8%
Selling and distribution expenses	(2,304)			(2,282)		
R&D expenses	(2,185)			(2,091)		
G&A expenses	(1,049)			(1,029)		
Operating profit	(601)	(465)	-29%	156	111	41%
PBT	(680)	(482)	-41%	66	91	-28%
Net income	(653)	(449)	-45%	63	168	-62%
Net income, adjusted	(636)	(486)	-31%	79	83	-5%
EPS (Rmb/share)	(0.2)	(0.2)	-19%	0.0	0.0	-22%
Adjusted EPS (Rmb/share)	(0.2)	(0.1)	-32%	0.0	0.0	-6%
Margin analysis (%)						
Gross margin	51.5%	51.1%	0.4%	51.5%	53.1%	-1.6%
Operating margin	-6.3%	-4.7%	-1.5%	1.5%	1.0%	0.5%
Net margin	-6.8%	-4.6%	-2.3%	0.6%	1.6%	-0.9%
Net margin, adjusted	-12.9%	-9.7%	-3.2%	1.5%	1.5%	0.1%

Source: Bloomberg Finance L.P. (data as of Sep 21, 2026), J.P. Morgan estimates.

Historical share price analysis: repeated strategic transitions have increased the burden of financial proof

Yonyou's share-price performance over the past five years illustrates how the market's expectations have evolved. Valuation compressed in 2022 as global growth multiples declined and domestic enterprise IT demand weakened. The debate became more company-specific during 2023-24. Organizational changes, adjustments to sales and delivery, weaker revenue growth and widening losses shifted investor attention toward execution and financial returns. **We believe this period is particularly relevant to the current investment case because it demonstrated that product investment and strategic positioning need to translate into consolidated financial improvement to support valuation.** During 2025-26, BIP progress and enterprise AI have increased the company's strategic optionality again, while cost restructuring has contributed to improving gross margin.

In our view, AI adoption itself can support valuation optionality, while a more durable rerating requires evidence of incremental customer spending, consolidated revenue acceleration, improving operating leverage and stronger FCF. Shareholder distributions are likely to remain secondary while profitability and cash generation recover. Yonyou paid no cash dividend for 2025 following the loss.

Figure 9: Historical stock price analysis



Source: Bloomberg Finance L.P. (data as of September 21, 2026), J.P. Morgan.

Risks and catalysts

The main risks to our Underweight relate to weak consolidated growth, uncertain AI incrementality and the pace of improvement in operating efficiency. Yonyou has valuable system-of-record assets and is investing in BIP and AI, but growth in strategic products has yet to translate consistently into stronger group economics. The key question is whether these products expand the customer wallet while reducing the cost of enterprise deployment. We see four main risks: weaker enterprise IT spending, continued divergence between strategic products and consolidated revenue, loss of incremental AI spending to other layers, and limited improvement in delivery efficiency and cash returns.

- **Weak enterprise IT spending could continue to constrain consolidated growth.** Large enterprise software projects remain exposed to customer budgets, procurement cycles and implementation schedules. A softer spending environment could delay new contracts, reduce expansion within existing customers and slow cloud ARR growth. This matters more for Yonyou because the investment case requires a return to sustained consolidated growth rather than strong performance in selected products. Contract liabilities, cloud ARR and existing-customer ACV/NRR should provide earlier signals of whether demand is improving.
- **Strong BIP or AI growth may not translate into stronger consolidated customer spending.** Strategic products can grow rapidly while legacy products decline, or customers reallocate existing ERP budgets toward newer offerings. AI creates a similar incrementality risk. Customers may pay for AI by reducing spending on seats, modules or implementation rather than increasing their total software budget. We would therefore place more weight on consolidated revenue, cloud ARR, NRR and total ACV per customer than on standalone BIP or AI growth. A stronger investment case requires new products to expand the overall customer wallet.
- **Yonyou may retain its system-of-record position while capturing a smaller share of incremental AI value.** Enterprise agents will continue to need access to financial data, permissions, business rules and transaction systems. This protects the relevance of Yonyou's underlying software. It does not guarantee ownership of the AI workflow. AI-native applications, model providers, cloud platforms or customer-developed agents could control the user interface while using Yonyou underneath for data and execution. Agent adoption could also reduce traditional seat demand as machines perform more tasks. Yonyou therefore needs usage- or workflow-based pricing that converts machine activity into incremental revenue and offsets potential seat compression.
- **BIP and AI need to improve delivery economics, not only the product mix.** Yonyou's large-enterprise business has historically required substantial implementation and service resources. BIP standardization and AI-assisted development should reduce customization, shorten deployment cycles and increase module reuse. If these benefits develop slowly, faster strategic-product growth may still require significant headcount and implementation spending. We would track gross margin, revenue per employee, deployment cycles and capitalized development costs alongside revenue growth. Improving reported earnings without stronger operating cash flow and FCF would provide weaker evidence of structural improvement.

The main upside catalysts would be evidence that BIP and AI are improving both consolidated growth and productivity. Sustained group revenue growth, cloud ARR reacceleration and higher existing-customer ACV/NRR would show that strategic products are expanding the customer wallet rather than replacing legacy spending. Meaningful usage- or workflow-based AI revenue would provide further evidence that machine consumption can create an incremental revenue stream despite potential seat compression. At the same time, higher gross margin, rising revenue per employee, shorter deployment cycles and stronger CFO/FCF would show that technology is improving the cost structure. We would become more constructive if **consolidated revenue and ARR accelerate at the same time as deployment intensity falls and free cash flow improves**, demonstrating that BIP and AI are changing the economics of the overall business rather than only shifting its revenue mix.

Investment Thesis, Valuation and Risks

Yonyou Network Technology Company Limited - A (Underweight; Price Target: Rmb6.00)

Investment Thesis

We rate Yonyou Underweight as its strategic enterprise assets have yet to translate into financial performance comparable with the opportunity they address. Yonyou controls valuable enterprise records, permissions, business rules and complex workflows across finance, supply chain and HR, which should remain relevant as agents perform more enterprise work. However, consolidated revenue growth, profitability and cash generation remain weak. We believe the key investment question is therefore financial conversion: AI product launches and contract activity need to drive sustained revenue growth, higher customer spending and operating leverage before the company's system-of-record scarcity supports stronger equity returns.

Valuation

Our Dec-27 PT of Rmb6 is based on 45x 2028E P/E. Our 45x target multiple is consistent with the premium valuation framework historically applied to leading A-share enterprise software, while Yonyou's weaker growth and financial conversion versus higher-quality software peers are reflected primarily in our lower earnings base rather than a discounted multiple.

Risks to Rating and Price Target

Upside risks include: stronger enterprise IT spending, faster BIP and cloud ARR growth, meaningful AI-driven ACV or usage revenue, and greater-than-expected operating leverage from cost reductions and productivity improvements.

Downside risks include: continued divergence between strategic-product growth and consolidated revenue, intensified competition across ERP and AI-native applications, and weaker monetization of agent activity. Slower margin recovery or cash flow conversion would further pressure earnings and valuation.

Yonyou Network - A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	9,153	9,182	9,568	10,142	10,750	Cash flow from operating activities	(274)	812	832	1,750	2,157
COGS	(4,802)	(4,626)	(4,636)	(4,914)	(5,214)	o/w Depreciation & amortization	1,209	1,414	1,435	1,521	1,613
Gross profit	4,351	4,556	4,932	5,228	5,536	o/w Changes in working capital	46	410	56	161	91
SG&A	(3,842)	(3,517)	(3,354)	(3,311)	(3,199)	Cash flow from investing activities	(1,108)	(1,347)	(1,042)	(1,116)	(1,183)
Adj. EBITDA	(859)	56	834	1,677	2,160	o/w Capital expenditure	(1,759)	(1,337)	(1,052)	(1,116)	(1,183)
D&A	(1,209)	(1,414)	(1,435)	(1,521)	(1,613)	as % of sales	19.2%	14.6%	11.0%	11.0%	11.0%
Adj. EBIT	(1,978)	(1,318)	(596)	161	553	Cash flow from financing activities	288	(2,003)	0	0	0
Net Interest	-	-	-	-	-	o/w Dividends paid	(274)	(221)	0	0	0
Adj. PBT	(2,076)	(1,369)	(680)	66	458	o/w Shares issued/(repurchased)	142	385	0	0	0
Tax	6	18	27	(3)	(9)	o/w Net debt issued/(repaid)	819	(2,295)	0	0	0
Minority Interest	9	(38)	11	11	16	Net change in cash	(1,096)	(2,536)	(209)	635	974
Adj. Net Income	(1,971)	(1,349)	(636)	79	470	Adj. Free cash flow to firm	(2,033)	(525)	(220)	635	974
Reported EPS	(0.62)	(0.41)	(0.19)	0.02	0.14	y/y Growth	7.7%	(74.2%)	(58.1%)	(388.4%)	53.5%
Adj. EPS	(0.59)	(0.40)	(0.19)	0.02	0.14						
DPS	-	-	-	-	-						
Payout ratio	-	-	-	-	-						
Shares outstanding	3,342	3,367	3,383	3,383	3,383						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	6,424	3,956	3,747	4,381	5,355	Gross margin	47.5%	49.6%	51.5%	51.5%	51.5%
Accounts receivable	2,585	2,415	2,516	2,667	2,827	EBITDA margin	(9.4%)	0.6%	8.7%	16.5%	20.1%
Inventories	411	379	381	404	429	EBIT margin	(21.6%)	(14.4%)	(6.2%)	1.6%	5.1%
Other current assets	1,612	1,729	1,777	1,855	1,937	Net profit margin	(21.5%)	(14.7%)	(6.7%)	0.8%	4.4%
Current assets	11,031	8,479	8,421	9,307	10,548	ROE	(21.4%)	(17.0%)	(8.7%)	1.1%	6.5%
PP&E	2,878	2,888	3,051	3,223	3,406	ROA	(7.9%)	(5.9%)	(3.0%)	0.4%	2.1%
LT investments	2,819	2,727	2,727	2,727	2,727	ROCE	(12.6%)	(9.7%)	(5.2%)	1.3%	4.5%
Other non current assets	7,429	7,537	6,992	6,414	5,801	SG&A/Sales	42.0%	38.3%	35.1%	32.6%	29.8%
Total assets	24,157	21,631	21,191	21,671	22,482	Net debt/Equity	0.1	0.1	0.1	0.0	NM
Short term borrowings	5,592	4,085	4,085	4,085	4,085	Net debt/EBITDA	NM	14.4	1.2	0.2	NM
Payables	1,103	1,250	1,245	1,319	1,414	Sales/Assets (x)	0.4	0.4	0.4	0.5	0.5
Other short term liabilities	5,676	5,881	6,093	6,431	6,694	Assets/Equity (x)	2.7	2.9	2.9	3.1	3.0
Current liabilities	12,371	11,215	11,423	11,835	12,193	Interest cover (x)	-	-	-	-	-
Long-term debt	1,433	669	669	669	669	Operating leverage	(2013.2%)	(10533.7%)	(1302.5%)	(2115.7%)	4065.5%
Other long term liabilities	554	499	499	499	499	Tax rate	(0.3%)	(1.3%)	(4.0%)	4.0%	2.0%
Total liabilities	14,357	12,383	12,591	13,003	13,360	Revenue y/y Growth	(6.6%)	0.3%	4.2%	6.0%	6.0%
Shareholders' equity	8,247	7,599	6,962	7,041	7,511	EBITDA y/y Growth	(2479.2%)	(106.5%)	1402.3%	101.1%	28.8%
Minority interests	1,553	1,649	1,638	1,627	1,611	EPS y/y Growth	115.8%	(32.1%)	(53.0%)	(112.5%)	492.0%
Total liabilities & equity	24,157	21,631	21,191	21,671	22,482						
BVPS	2.47	2.26	2.06	2.08	2.22	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
y/y Growth	(18.3%)	(8.5%)	(8.8%)	1.1%	6.7%	P/E (x)	NM	NM	NM	405.1	68.4
Net debt/(cash)	600	797	1,007	372	(602)	P/BV (x)	3.8	4.2	4.6	4.6	4.3
						EV/EBITDA (x)	NM	617.7	41.4	20.2	15.2
						Dividend Yield	-	-	-	-	-

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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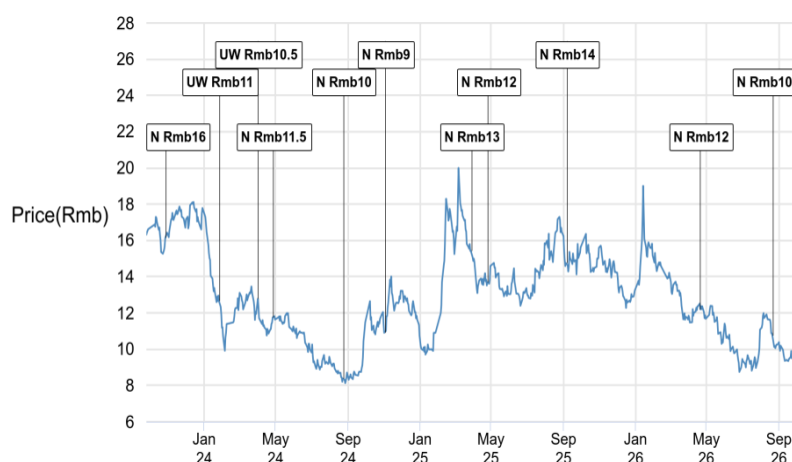
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Yonyou Network - A (600588.SS, 600588 CH) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 31, 2021. All share prices are as of market close on the previous business day.

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